ILLUSTRATIVE ENGAGEMENT TERMS

AI Systems Development Pilot — Gerrys Roofing & Siding Inc.

FOR EXAMPLE USE ONLY — NOT A BINDING AGREEMENT

This document is an illustrative draft prepared to structure negotiation. It creates no obligation on either party until a final version is reviewed by both parties (with independent legal counsel, as each party sees fit) and signed. Terms in brackets are placeholders to be filled in or negotiated.

This draft is intended to give both sides a fair, mutually protective starting point for discussing a short-term engagement to design, build, and pilot a small set of custom AI-driven tools for internal use at Gerrys Roofing & Siding Inc. (the “Company”), performed by Michael Stringer (the “Participant”). Nothing below should be treated as final until both parties agree on the actual numbers, dates, and scope, and it has been reviewed by counsel of each party's choosing.

1. Parties and Purpose

This Agreement is made between Gerrys Roofing & Siding Inc., its successors, and assigns (the “Company”), and Michael Stringer, an individual (the “Participant”), collectively the “Parties.”

The purpose of this engagement is for the Participant to design, build, test, and refine a limited set of custom artificial-intelligence-driven tools for the Company's internal operations (the “Project”), working directly with Company staff, trainers, and management to ensure the tools reflect the Company's actual processes. The specific tools in scope for the initial term are to be selected by mutual agreement from the concepts presented to the Company on or around [DATE], and may include, without limitation, onboarding/training systems, customer communication or lead-response systems, and internal sales or analytics support tools.

2. Term

- **Initial Term.** an initial term of no less than sixty (60) calendar days from the agreed start date (the “Initial Term”);
- **Optional Extension.** at the Company's sole discretion, and conditioned on progress and performance reasonably satisfactory to the Company, an additional ninety (90) calendar day extension (the “Extension Term”), on the same base terms unless the Parties agree otherwise in writing;
- **Check-Ins.** Either Party may propose check-in points at any time; the Parties agree to hold structured progress reviews at minimum at Day 30, Day 60, and (if the Extension Term is entered) Day 90 (or 150 total), against goals agreed in writing at the start of each period. See Section 8 (Mutual Protection).

3. Compensation

- **Base Compensation.** a base rate of not less than CAD $30.00 per hour for time worked on the Project, paid on the Company's regular payroll schedule; plus
- **Development Fund.** a development fund of not less than CAD $5,000 and not more than CAD $7,500, to be used toward software subscriptions, licenses, tools, and/or equipment reasonably required to build and pilot the Project, with receipts or an accounting provided to the Company on request;
- **Ownership of Funded Items.** all software, tools, accounts, programs, and equipment purchased using the development fund, and all materials and programs developed under this Agreement, are and remain the sole property of the Company at the conclusion of the Initial Term or Extension Term, regardless of outcome. See Section 5 (Ownership).

4. Working Arrangement and Access

The Participant may begin work promptly upon execution of a final agreement. The Participant will make reasonable time available for check-ins as described in Section 2, and will provide the Company (or its designated representative) with shared, real-time access to project folders, drafts, and progress materials for the duration of the engagement, so that progress can be reviewed at any time without waiting for a formal check-in.

5. Ownership of Work Product

All training materials, video and audio recordings, scripts, prompts, software configurations, documentation, AI models, assistants, agents, workflows, and any other work product created by the Participant specifically for the Company under this Agreement (the “Work Product”) are and shall be the sole and exclusive property of the Company upon creation, or in any event no later than the end of the Initial Term or Extension Term. The Participant assigns all right, title, and interest in the Work Product to the Company and will sign any further documents reasonably requested to confirm this. This does not apply to the Participant's general skills, know-how, or any tools, templates, or methods the Participant already owned or independently developed before this engagement and that are not specific to the Company's own processes, branding, or data.

6. Confidentiality

The Participant will keep confidential all non-public business information of the Company encountered during the engagement, including customer data, pricing, financials, internal processes, and the Work Product, and will not disclose or use such information outside the scope of this engagement. The Participant agrees to sign the Company's standard non-disclosure agreement, if requested, on terms consistent with this Section.

7. Restrictive Covenant (Non-Compete / Non-Use)

For a period of [XX months/years] following the end of this engagement (however it ends), and within [Southern Ontario / all of Ontario, at the Company's election], the Participant agrees not to bring, license, sell, or otherwise provide the specific training modules, AI tools, bots, agents, language models, proprietary voice profiles, or other artificially generated likeness or personality developed specifically for the Company under this Agreement to any business that directly or indirectly competes with the Company, without the Company's prior written consent.

This restriction applies only to the specific Work Product created for the Company under this Agreement, and to Confidential Information as defined in Section 6. It does not restrict the Participant from working in, or building similar general-purpose tools for, any trade or industry other than roofing, siding, and closely related exterior-home-improvement trades, and does not restrict the Participant's general knowledge, skills, or experience gained during the engagement.

LEGAL NOTE — READ BEFORE SIGNING: *Under Ontario's Employment Standards Act, 2000 (as amended by the Working for Workers Act, 2021), non-compete clauses with employees are void in almost all cases — the main exception is for certain “executive” employees, or a non-compete signed as part of the sale of a business. A $30/hour, fixed-term role is very unlikely to qualify as “executive.” This means a clause like the one above may not be enforceable if the Participant is engaged as an employee. Confidentiality (Section 6), IP assignment (Section 5), and non-solicitation (Section 9) remain enforceable regardless of how the relationship is classified, and should be treated as the real protection for the Company. If the Company wants a restrictive covenant that actually holds up, the Parties should get advice on structuring the post-term relationship (Section 10) as an independent contractor arrangement, where different rules can apply — rather than relying on this clause as written. Both Parties should confirm this section with a lawyer before relying on it.*

8. Mutual Protection and Good-Faith Standard

- **For the Participant:** the Company's obligation to pay compensation and fund the Project depends on the Participant's good-faith, diligent effort, not on guaranteed business results; unforeseen technical or business obstacles encountered in good faith are not a breach of this Agreement;
- **For the Company:** the Participant makes no promise of a specific financial return, timeline beyond good-faith estimates, or guaranteed outcome, and will flag risks, delays, or scope problems to the Company as soon as they become apparent rather than overstating progress;
- **Shared:** progress against the goals set at each check-in (Section 2) will be documented in writing and used as the basis for decisions about the Extension Term or post-term retention, so that neither Party is relying on memory or assumptions about how the engagement is going.

9. Non-Solicitation

For a period of [12] months following the end of this engagement, the Participant agrees not to solicit the Company's customers or employees, for the benefit of a competing business, using Confidential Information obtained during the engagement.

10. Options at the End of the Term

At or before the end of the Initial Term (or Extension Term, if entered), the Company may, at its sole discretion, choose one of the following paths. Except where noted, all protections in this Agreement (Sections 5, 6, 7, 8, and 9) continue to apply regardless of which path is chosen.

- **Option A — Transfer to Internal Team.** the Participant trains a member or members of the Company's own team to operate, maintain, and reasonably extend the Work Product going forward, with no further obligation to retain the Participant;
- **Option B — Ongoing Retention.** the Company retains the Participant on an ongoing basis, either as an employee or as an independent subcontractor, for continued development and support of AI tools. If this option is chosen, only the compensation and scope terms are renegotiated between the Parties; the protections in this Agreement continue unless expressly replaced in writing;
- **Option C — No Extension.** if neither Option A nor Option B is agreed in writing before the end of the applicable term, the engagement ends on the last day of that term, the restrictions in Sections 7 and 9 begin the day after that last day, and Section 11 (Fallback Position) applies.

11. Fallback Position

Participation in this Project is separate from, and is not a condition of, the Participant's existing role with the Company. If this engagement does not proceed, is not extended, or ends without a retention agreement under Section 10, the Participant's prior role (or an equivalent role, if the prior role is no longer available for reasons unrelated to this Agreement) remains available to the Participant at the Participant's option, on the terms that applied before this Agreement, unless the Participant separately agrees otherwise.

12. Equipment

Any computational equipment, hardware, or paid software licenses purchased by the Company for this engagement, including through the development fund described in Section 3, are Company property and will remain at the Company's designated location(s) at the end of the engagement, regardless of which option under Section 10 applies.

13. Termination

Either Party may end this engagement before the end of the Initial Term for material breach not cured within [10] business days of written notice, or by mutual written agreement at any time. Sections 5 (Ownership), 6 (Confidentiality), 7 (Restrictive Covenant, subject to the Legal Note above), 9 (Non-Solicitation), and 11 (Fallback Position) survive termination.

14. General

- **Governing Law.** This Agreement is governed by the laws of the Province of Ontario.
- **Amendment.** Any amendment must be in writing and signed by both Parties. This draft is not effective until replaced by a final signed version.
- **Independent Advice.** Both Parties are encouraged to have this Agreement reviewed by independent legal counsel of their own choosing before signing.

BEFORE YOU SIGN ANYTHING: *Everything above is a starting point for discussion, written to be fair to both sides, not a finished contract. Dollar figures, dates, durations, and the geographic/time scope of Section 7 are all meant to be negotiated. Replace the bracketed placeholders, confirm the Legal Note in Section 7 with counsel, and have both Parties sign a clean final version before treating any of this as binding.*

For the Company:

_____

Name / Title (print)

Date: _____

For the Participant:

_____

Michael Stringer

Date: _____